Notes: Klibanoff, Lamont, and Wizman (JF, 1998)
Investor Reaction to Salient News in Closed-End Country Funds

Contents

1 Big picture

- **Question.** Does the salience of news affect how quickly asset prices react to fundamentals?
- **Setting.** The paper studies U.S.-listed closed-end country funds. Each fund has a market price in the United States and a net asset value (NAV) based on its holdings in the foreign country.
- **Core empirical advantage.** NAV provides an observable benchmark for fundamentals. This helps avoid the standard problem in market-efficiency tests: fundamentals are usually unobservable.
- **Main behavioral hypothesis.** Some investors underweight current public information and overweight lagged information. Dramatic, front-page news temporarily raises attention and makes investors react more quickly to current fundamentals.
- **Salience measure.** A country-fund week is classified as a salient-news week when a relevant country-specific story appears on the front page of *The New York Times*; the benchmark news dummy uses headlines of at least two columns in width.
- **Main result.** In ordinary weeks, prices underreact to NAV changes: a 1% NAV return produces only about a 0.5–0.6% contemporaneous price return. In news weeks, the price reaction is much larger; the interaction NEWS $\times$ NAV return is around 0.33–0.37 in the main specifications.
- **Robustness.** The news effect remains after allowing heterogeneous fund responses, week dummies, lagged price/NAV returns, lagged premiums, large NAV-return controls, emerging/established market splits, restricted/unrestricted market splits, foreign-index returns, and volume controls.
- **Interpretation.** Salient news increases the speed with which prices incorporate fundamentals. The paper interprets this as evidence that investor attention affects market prices.
- **Takeaway.** The paper gives an early field-market test of a cognitive salience mechanism using a setting where fundamentals are directly observable.

2 Incremental contribution of the paper

- **From ex post anomaly stories to ex ante behavioral prediction.** Much behavioral finance at the time interpreted return predictability or closed-end fund discounts after the fact. This paper starts from an experimental psychology prediction: more salient information receives more weight.
- **Direct fundamentals benchmark.** The paper uses NAV as an observed measure of fundamental value. This lets the authors estimate the elasticity of price reactions to fundamentals instead of inferring fundamentals from a model.
- **Exogenous salience proxy.** Front-page *New York Times* coverage is plausibly outside the country-fund market itself. It measures salience to U.S. investors without being mechanically generated by the fund price.
- **Dynamic response rather than level discounts.** Instead of asking whether closed-end fund premia exist, the paper asks whether the price–NAV elasticity changes during salient-news weeks.
- **Idiosyncratic country-specific focus.** The paper uses country-specific news and includes week dummies to avoid confounding the estimates with aggregate investor sentiment.
- **Alternative-explanation discipline.** It tests measurement error, timing of NAV release, volatility, market segmentation, local-index reactions, and trading volume. This makes the attention interpretation more credible than a simple correlation between news and returns.
- **Bridge between psychology and asset pricing.** The paper connects salience/availability ideas from laboratory studies with actual security prices and limited-arbitrage models.

3 Data and measurement

3.1 Closed-end country funds

The sample contains 39 single-country, publicly traded closed-end funds that were covered in *Barron's* publicly traded funds column from January 1986 through March 1994 and had at least twelve months of price and NAV data. The funds represent 25 countries, including Argentina, Australia, Austria, Brazil, Chile, France, Germany, India, Indonesia, Ireland, Israel, Italy, Japan, Korea, Malaysia, Mexico, the Philippines, Portugal, Singapore, Spain, Switzerland, Taiwan, Thailand, Turkey, and the United Kingdom.

- Price and NAV data are weekly.
- Prices and NAVs are generally reported as of Friday.
- The dataset contains 9,781 fund-week observations.
- The average is roughly 250 weeks per fund and 23 funds per week.

Interpretation: Country funds are useful because their U.S. market prices can diverge from NAV even though NAV is a direct measure of the value of the underlying foreign portfolio.

3.2 Returns and premia

Price returns and NAV returns are defined as:

$$R_p(t) = \ln(P(t) + D(t)) - \ln(P(t-1)),$$

$$R_n(t) = \ln(N(t) + D(t)) - \ln(N(t-1)),$$

where $P(t)$ is the fund price, $N(t)$ is NAV, and $D(t)$ is the total distribution during week t. The log premium is

$$\ln(P(t)/N(t)).$$

Interpretation: If prices fully and immediately reflect fundamentals, the coefficient of $R_p(t)$ on $R_n(t)$ should be close to one. A coefficient below one means prices underreact contemporaneously to fundamentals.

3.3 News events and salience

For each country fund, the authors search the Nexis database for front-page *New York Times* articles whose headlines or first paragraphs contain country-specific keywords. They discard stories that are not relevant to investors' perceptions of economic fundamentals. They hand-collect the column width of the front-page headline as a salience measure.

- The broad news screen yields 229 fund-weeks of news events.
- The benchmark news indicator equals one when a relevant front-page headline is at least two columns wide.
- This benchmark classification yields 97 news fund-weeks.
- If a story is relevant to multiple funds, the event can be assigned to multiple funds.

Interpretation: The paper treats front-page placement and headline width as a field-market proxy for salience. The premise is not that the Times reveals new fundamental information beyond NAV, but that it focuses investor attention.

3.4 Trading volume

Trading volume is the natural log of average daily fund volume within the relevant week. The authors also construct abnormal volume:

$$VOLDEV(t) = \text{residual from regressing log volume on fund and week dummies.}$$

A high-volume dummy equals one if $VOLDEV(t)$ is more than two standard deviations above zero.

Interpretation: Volume is used as a mechanism and alternative-explanation test. If news simply increases liquidity, controlling for volume should eliminate the NEWS $\times$ NAV-return effect.

4 Model and empirical specifications

4.1 Behavioral model intuition

The appendix model has two markets: a market for the underlying foreign assets and a U.S. market for the closed-end fund shares. NAV reflects the underlying asset value. In the fund-share market, some unsophisticated investors form expectations incorrectly: they underweight current public information and overweight lagged public information.

Salient news temporarily reduces the underweighting of current information. Rational risk-averse arbitrageurs do not fully offset the mispricing because the underlying foreign asset risks are not perfectly hedgeable.

Interpretation: The model explains how slow price reaction can survive in equilibrium: arbitrage is limited because rational investors face nondiversifiable fundamental risk and cannot perfectly trade the underlying foreign assets.

4.2 Basic price-reaction regression

The baseline underreaction equation is:

$$R_p(t) = \alpha_i + \beta_0 R_n(t) + \beta_1 R_n(t-1) + \beta_2 R_n(t-2) + \gamma Premium(t-1) + \delta R_p(t-1) + \varepsilon_{it}.$$

- α_i are fund fixed effects.
- Some specifications include week dummies.
- Some specifications allow coefficients to differ by fund.

Interpretation: The coefficient β_0 measures the contemporaneous elasticity of price returns to NAV returns. Underreaction means $\beta_0 < 1$.

4.3 Salience/news interaction specification

The key empirical equation adds news interactions:

$$R_p(t) = \alpha_i + \beta R_n(t) + \theta\, NEWS(t) R_n(t) + \lambda NEWS(t) + \text{lags and controls} + \varepsilon_{it}.$$

- $\theta > 0$ means prices react more to fundamentals in salient-news weeks.
- The benchmark specification includes fund effects, week effects, lagged price returns, contemporaneous and lagged NAV returns, and lagged premia.
- Some versions estimate the response to NAV separately for each fund.

Interpretation: The paper's main test is whether θ is positive. A positive θ means salient news changes the price–fundamental elasticity.

4.4 Market-characteristic and index-return tests

The paper splits the sample into emerging versus established markets and restricted versus unrestricted markets. It also replaces NAV returns with the dollar return on the local stock-market index:

$$R_{INDEX}(t).$$

Interpretation: These tests address whether the result reflects NAV measurement error, illiquidity, capital controls, or market segmentation. If the effect appears using local index returns, it is less likely to be an artifact of NAV timing.

4.5 Volume specification

The volume test adds abnormal volume and high-volume interactions:

$$R_p(t) = \cdots + \theta NEWS(t)R_n(t) + \psi VOLDEV(t)R_n(t) + \phi HIGHVOL(t)R_n(t) + \cdots .$$

Interpretation: If volume fully explains the news effect, θ should fall to zero once volume interactions are added. It remains sizable, so the news effect is not only a liquidity/volume story.

5 Identification strategy

5.1 What is being identified?

The paper identifies whether the sensitivity of country-fund prices to fundamentals is higher in weeks when country-specific information is salient. It is not estimating the causal effect of a randomized news treatment. Instead, it asks whether a predicted behavioral mechanism is visible in market data.

5.2 Key assumptions

- NAV is a reasonably accurate measure of fundamental value.
- Front-page *New York Times* articles increase attention or salience to U.S. investors.
- Conditional on controls and week effects, news-week changes in price–NAV elasticity are not solely due to volatility, liquidity, NAV measurement error, or market segmentation.
- Country-specific news is separable from aggregate sentiment because week dummies absorb common shocks.

5.3 Why closed-end country funds help

Closed-end country funds are attractive because price and NAV are observed separately. NAV summarizes the value of the foreign portfolio, while the U.S. price reflects the valuation of the fund shares by U.S. investors. This creates a direct test of price reaction to fundamentals.

5.4 Threats and responses

- **NAV measurement error.** The paper checks emerging versus established markets, restricted versus unrestricted markets, and local foreign stock-index returns.
- **Large fundamental movements.** Table IV includes a dummy for very large absolute NAV returns; these do not explain the news interaction.
- **Liquidity/volume.** Tables V and VII show news raises volume, but the price-reaction result remains after controlling for abnormal volume.
- **Aggregate sentiment.** Week fixed effects absorb common movements in country-fund prices.
- **Market segmentation.** Results are not limited to restricted or emerging markets.

Interpretation: The design is strongest because it does not merely show that prices move in news weeks; it shows that the same NAV return has a different price response when news is salient.

6 Tables and figures

6.1 Table I: Summary Statistics of Weekly Data, 1986 through 1994 and Table II: Illustrative List of All News Events Associated with the First Israel Fund

Read:

- Table I shows that NAV returns are less volatile than price returns: full-sample price-return standard deviation is 5.50 percentage points versus 3.49 for NAV returns.
- The average log premium is negative in the full sample, but close to zero in news weeks.
- News weeks have larger absolute price and NAV returns, showing that prominent events are associated with more volatility.
- Table II illustrates the hand-collected news procedure for the First Israel Fund, listing dates, headline width, and headline text.

Interpretation: Table I establishes the key closed-end fund puzzle: prices are more volatile than NAVs and premia are persistent. Table II shows that "news" is not an abstract indicator; it is constructed from front-page newspaper coverage judged relevant to the country fund.

Economic message: The paper uses a market with both observable fundamentals and observable salience shocks, which is rare in behavioral asset pricing.

Table I

Summary Statistics of Weekly Data, 1986 through 1994

This table reports summary statistics for a sample of 39 country funds, using weekly data from 1986 to 1994. $P(t)$ is the price of the fund. $N(t)$ is the net asset value of the fund. $D(t)$ is the dividend and capital gain distributions paid by the fund during week t. Price return is $R_p(t) = [\ln(P(t) + D(t)) - \ln(P(t-1))]$. Net asset value return is $R_n(t) = [\ln(N(t) + D(t)) - \ln(N(t-1))]$. $|R_n(t)|$ is the absolute value of $R_n(t)$ and ln is natural log. ρ is the first-order autocorrelation coefficient. All variables are expressed as percentage points. For news weeks, ρ is the first-order autocorrelation coefficient of returns between the week in which the news occurs and the subsequent week. Full sample is all weeks with available data. News sample is the 97 weeks in which front page news appeared.

Variable	Sample	N	Mean	Std. Dev.	Min	Max	ρ
Price return: $R_p(t)$	Full	9728	0.17	5.50	−39.9	36.2	−0.07
	News	97	1.05	7.00	−17.5	24.0	−0.12
NAV return: $R_n(t)$	Full	9729	0.22	3.49	−38.1	28.8	0.09
	News	97	0.73	4.40	−15.4	9.6	0.13
Absolute price return:	Full	9728	3.83	3.94	0	39.9	0.22
$\lvert R_p(t)\rvert$	News	97	5.35	4.60	0	24.0	−0.08
Absolute NAV return:	Full	9729	2.38	2.56	0	38.1	0.29
$\lvert R_n(t)\rvert$	News	97	3.30	2.99	0	15.4	0.49
Simple premium:	Full	9781	−1.21	22.3	−56.3	205.4	0.96
$(P(t) - N(t))/N(t)$	News	97	2.67	26.6	−32.0	143.7	0.97
Log premium:	Full	9781	−3.27	19.4	−82.7	111.6	0.96
$\ln(P(t)/N(t))$	News	97	0.09	21.4	−38.6	89.1	0.96

(a) Table I: Summary statistics.

Table II

Illustrative List of All News Events Associated with the First Israel Fund

This table reports the eight days in which front page articles, judged to contain news relevant to investment in Israel, appeared in the *New York Times*, October 1992 to March 1994. The table reports the dateline, the column width of the front page headline, and the complete text of the headline.

Dateline	Column Width	Headline
12/18/92	3	Israel Expels 400 From Occupied Lands; Lebanese Deploy to Bar Entry to Palestinians
8/29/93	3	Israeli Reports Agreement Toward Palestinian Rule in Gaza and Jericho
8/30/93	1	In Draft Accord, Israelis and PLO Near Recognition
8/31/93	2	Mideast Accord: The First Step; More Realism Will Be Needed Before Pact Between Israelis and PLO is a Done Deal
9/1/93	1	Mideast Accord: Israel and PLO Ready to Declare Joint Recognition
9/14/93	6	Mideast Accord: The Overview; Rabin and Arafat Seal Their Accord as Clinton Applauds 'Brave Gamble'
9/15/93	2	Mideast Accord: Gaza; Dedicated Extremists Present Twin Threat to Mideast Peace
2/26/94	4	West Bank Massacre: The Overview; At Least 40 Slain in West Bank as Israeli Fires into Mosque

(b) Table II: news-event illustration.

6.2 Table III: Reaction of Prices to Net Asset Values and Table IV: News and the Reaction of Prices to Net Asset Values

Read:

- Table III shows that price returns underreact to NAV returns. The contemporaneous coefficient is 0.64 in column (1), 0.62 in column (2), 0.66 in column (3), and 0.50 with week dummies in column (4).
- Lags of NAV returns are positive, meaning that price continues to incorporate past NAV changes over subsequent weeks.
- Table IV shows that the interaction NEWS $\times R_n(t)$ is positive: around 0.33–0.37 across columns.
- In the benchmark column (3), the estimated news interaction is 0.35 with a standard error of 0.13.
- The large-NAV-return interaction in column (4) is negative, so the result is not simply that prices react more to big NAV moves.

Interpretation: Table III establishes underreaction. Table IV provides the main salience result: the price–NAV elasticity is higher when country news is prominent. This is exactly the behavioral hypothesis.

Economic message: Salient public information increases the speed of price discovery, even when fundamentals are already measurable through NAV.

Table III

Reaction of Prices to Net Asset Values

This table shows OLS regressions of price return on its own lagged value, contemporaneous and lagged net asset value return, and the lagged premium. The sample consists of weekly data on closed-end country funds, 1986 through 1994. $P(t)$ is the price of the fund. $N(t)$ is the net asset value of the fund. $D(t)$ is the dividend and capital gain distributions paid by the fund during week t. Price return is $R_p(t) = [\ln(P(t) + D(t)) - \ln(P(t-1))]$. Net asset value return is $R_n(t) = [\ln(N(t) + D(t)) - \ln(N(t-1))]$. The premium is $\ln(P(t)/N(t))$. All variables are expressed as percentage points. All regressions include a constant term and 38 fund-specific intercept dummies (not shown). Week dummies are 428 separate intercepts for each calendar week in the sample. Standard errors are reported in parentheses. Dependent variable: $R_p(t)$.

	Column			
	(1)	(2)	(3)	(4)
$R_n(t)$	0.64	0.62	0.66	0.50
	(0.01)	(0.01)	(0.01)	(0.01)
$R_n(t-1)$		0.12	0.21	0.19
		(0.01)	(0.02)	(0.02)
$R_n(t-2)$		0.06	0.08	0.05
		(0.01)	(0.01)	(0.01)
$\ln(P(t-1)/N(t-1))$			−0.06	−0.05
			(0.004)	(0.004)
$R_p(t-1)$			−0.15	−0.22
			(0.01)	(0.01)
Adj. R^2	0.17	0.17	0.22	0.39
Number of obs.	9724	9615	9613	9613
Week dummies	No	No	No	Yes

(a) Table III: price reaction to NAV.

Table IV

News and the Reaction of Prices to Net Asset Values

This table shows regressions of price return on its own lagged value, contemporaneous and lagged net asset value return, the lagged premium, a dummy variable for whether a relevant *New York Times* headline (at least two columns wide) occurred in the week, and contemporaneous and lagged news and net asset value return interaction. The sample consists of weekly data on closed-end country funds, 1986 through 1994, with 9613 observations. $P(t)$ is the price of the fund. $N(t)$ is the net asset value of the fund. $D(t)$ is the dividend and capital gain distributions paid by the fund during week t. Price return is $R_p(t) = [\ln(P(t) + D(t)) - \ln(P(t-1))]$. Net asset value return is $R_n(t) = [\ln(N(t) + D(t)) - \ln(N(t-1))]$. The premium is $\ln(P(t)/N(t))$. All variables are expressed as percentage points. NEWS(t) is a dummy variable equal to one if a news event occurred for that fund and week. $(|R_n(t)| > 7.48)$ is a dummy variable equal to one if the absolute value of $R_n(t)$ is greater than 7.48. "*" indicates that the regression allows this coefficient to take on different values for different funds. All regressions include a constant term, 38 fund-specific intercept dummies, and 428 week dummies (not shown). Columns (2) through (4) contain, in addition to the variables shown: one lag of $R_p(t)$, contemporaneous and two lags of $R_n(t)$, and the lagged premium, each allowed to vary across the 39 funds. All regressions use weighted least squares, modeling the log of the variance of the OLS residuals as a linear function of the fund dummies and the variable NEWS(t), and reestimating the regression with the estimated covariance matrix. Standard errors are reported in parentheses. Dependent variable: $R_p(t)$.

	Column			
	(1)	(2)	(3)	(4)
NEWS(t)*$R_n(t)$	0.33	0.37	0.35	0.36
	(0.12)	(0.13)	(0.13)	(0.13)
NEWS(t)*$R_n(t-1)$	−0.18	−0.04		
	(0.15)	(0.17)		
NEWS(t)*$R_n(t-2)$	0.12	0.07		
	(0.16)	(0.17)		
$(\|R_n(t)\| > 7.48)$*$R_n(t)$				−0.08
				(0.03)
$R_n(t)$	0.47	*	*	*
	(0.02)			
$R_n(t-1)$	0.12	*	*	*
	(0.02)			
$R_n(t-2)$	0.03	*	*	*
	(0.02)			
NEWS(t)	0.30	0.31	0.32	0.27
	(0.50)	(0.55)	(0.54)	(0.55)

(b) Table IV: news and price reaction.

6.3 Table V: The Reaction of Volume to News and Table VI: Market Characteristics and Public Information

Read:

- Table V shows that trading volume is higher in news weeks. The NEWS coefficient is 0.41 without controls, 0.34 with lagged volume, and 0.25 with week dummies.
- Table VI splits the sample by market type. The NEWS $\times R_n(t)$ coefficient is 0.50 for emerging markets and 0.30 for established markets.
- It is 0.72 for restricted markets and 0.32 for unrestricted markets, but the result is not confined to one group.
- The final column shows a NEWS interaction of 0.36 when the fundamental measure is the dollar return on the local foreign index rather than NAV.

Interpretation: Table V supports the idea that salient news increases trading participation. Table VI weakens the measurement-error explanation because the effect persists across market categories and when local stock indexes replace NAV.

Economic message: Salience seems to change market processing of information, not merely the amount of trading or the precision of NAV measurement.

Table V

The Reaction of Volume to News

This table shows OLS regressions of trading volume on the news dummy and lagged trading volume. The dependent variable is the natural log of the average daily trading volume of the closed-end fund within the relevant week (accounting for the number of trading days contained within the week). The sample consists of weekly data on closed-end country funds, 1986 through 1994. NEWS(t) is a dummy variable equal to one if a news event occurred for that fund and week. All regressions include a constant term and 38 fund-specific intercept dummies (not shown). Week dummies are 428 separate intercepts for each calendar week in the sample. Standard errors are reported in parentheses. Dependent variable: ln(Volume(t)).

	Column		
	(1)	(2)	(3)
NEWS(t)	0.41	0.34	0.25
	(0.07)	(0.06)	(0.06)
ln(Volume$(t-1)$)		0.62	0.52
		(0.01)	(0.01)
Adj. R^2	0.38	0.62	0.68
Number of obs.	9672	9619	9619
Week dummies	N	N	Y

(a) Table V: volume and news.

Table VI

Market Characteristics and Public Information

This table shows regressions of weekly price return on its own lagged value, contemporaneous and lagged net asset value return, the lagged premium, a dummy variable for whether news occurred in the week, and contemporaneous news and net asset value return interaction. The sample consists of weekly data on closed-end country funds, 1986 through 1994. $P(t)$ is the price of the fund. $N(t)$ is the net asset value of the fund. $D(t)$ is the dividend and capital gain distributions paid by the fund during week t. Price return is $R_p(t) = [\ln(P(t) + D(t)) - \ln(P(t-1))]$. Net asset value return is $R_n(t) = [\ln(N(t) + D(t)) - \ln(N(t-1))]$. The premium is $\ln(P(t)/N(t))$. All variables are expressed as percentage points. NEWS(t) is a dummy variable equal to one if a news event occurred for that fund and week. This table tests whether differences in foreign market characteristics, or timing issues in the release of net asset value information, affect the results. Emerging markets regression uses Argentina, Brazil, Chile, India, Indonesia, Israel, Korea, Malaysia, Mexico, Philippines, Portugal, Singapore, Taiwan, Thailand, and Turkey. Established markets regression uses Australia, Austria, France, Germany, Ireland, Italy, Japan, Spain, Switzerland, and the United Kingdom. Restricted markets regression includes Chile, India, Indonesia, Korea, Mexico, Philippines, Taiwan, and Thailand. Unrestricted markets include Argentina, Australia, Austria, Brazil, France, Germany, Ireland, Israel, Italy, Japan, Malaysia, Portugal, Singapore, Spain, Switzerland, Turkey, and the United Kingdom. The last column replaces $R_n(t)$ with $R_{\mathrm{INDEX}}(t)$ in every place that $R_n(t)$ appears. $R_{\mathrm{INDEX}}(t)$ is the change in the natural log of the dollar value of the local stock price index. In addition to the variables shown, all regressions include: one lag of $R_p(t)$, contemporaneous and two lags of $R_n(t)$, and the lagged premium, each allowed to vary across the 39 funds; a constant term; 38 fund-specific intercept dummies; and 428 week dummies. All regressions use weighted least squares, modeling the log of the variance of the OLS residuals as a linear function of the fund dummies and the variable NEWS(t), and reestimating the regression with the estimated covariance matrix. Standard errors are reported in parentheses. Dependent variable: $R_p(t)$.

	Sample				
	Emerging Markets	Established Markets	Restricted Markets	Unrestricted Markets	Reaction to Change in Dollar Value of Foreign Index
NEWS(t)*$R_n(t)$	0.50	0.30	0.72	0.32	
	(0.22)	(0.16)	(0.33)	(0.17)	
NEWS(t)*$R_{\mathrm{INDEX}}(t)$					0.36
					(0.12)
NEWS(t)	0.79	−0.61	−0.67	0.13	0.89
	(1.04)	(0.58)	(1.20)	(0.72)	(0.55)
N	5114	4499	3577	6036	7022

(b) Table VI: market characteristics and public information.

6.4 Table VII: Volume and the Reaction of Prices to News and Table A.I: Funds in the Sample and IPO Dates

Read:

- Table VII adds volume controls to the benchmark reaction equation.
- NEWS $\times R_n(t)$ remains positive at 0.28 or 0.30 after adding volume interactions.
- Abnormal volume interactions are also positive, so high-volume weeks do have stronger price reactions.
- Table A.I lists the 39 single-country funds and IPO dates, documenting the cross-country sample.

Interpretation: Table VII shows that volume partially overlaps with salience but does not fully explain it. Table A.I gives the underlying sample frame and shows that the paper studies a broad set of funds rather than a single crisis episode.

Economic message: Salient news raises both trading activity and the elasticity of price to fundamentals, but the elasticity result is not reducible to liquidity.

Table VII

Volume and the Reaction of Prices to News

This table shows regressions of weekly price return on its own lagged value, contemporaneous and lagged net asset value return, the lagged premium, a dummy variable for whether news occurred in the week, contemporaneous news and net asset value return interaction, contemporaneous volume variables, and an interaction term of contemporaneous volume and net asset value return. The sample consists of weekly data on closed-end country funds, 1986 through 1994. $P(t)$ is the price of the fund. $N(t)$ is the net asset value of the fund. $D(t)$ is the dividend and capital gain distributions paid by the fund during week t. Price return is $R_p(t) = [\ln(P(t) + D(t)) - \ln(P(t-1))]$. Net asset value return is $R_n(t) = [\ln(N(t) + D(t)) - \ln(N(t-1))]$. The premium is $\ln(P(t)/N(t))$. All variables are expressed as percentage points. NEWS(t) is a dummy variable equal to one if a news event occurred for that fund and week. VOLDEV(t) is the deviation of volume from its average for a given fund and week fund, calculated using the OLS residual from a regression of the natural logarithm of volume against dummies for fund and week. HIGHVOL(t) is a dummy variable equal to one if VOLDEV(t) is more than two standard deviations above zero. The cutoff point for HIGHVOL(t) is 1.2, which means that volume has to be 120 percent higher than average for that fund and week. HIGHVOL(t) equals 1 in about 2.7 percent of the observations. In addition to the variables shown, all regressions include: one lag of $R_p(t)$, contemporaneous and two lags of $R_n(t)$, and the lagged premium, each allowed to vary across the 39 funds; a constant term; 38 fund-specific intercept dummies; and 428 week dummies. All regressions use weighted least squares, modeling the log of the variance of the OLS residuals as a linear function of the fund dummies and the variable NEWS(t), and reestimating the regression with the estimated covariance matrix. Standard errors are reported in parentheses. Dependent variable: $R_p(t)$.

	Volume Measure	
	Volume Deviation	High Volume
NEWS(t)*$R_n(t)$	0.28	0.30
	(0.15)	(0.14)
NEWS(t)	0.002	0.31
	(0.63)	(0.59)
VOLDEV(t)*$R_n(t)$	0.27	
	(0.02)	
VOLDEV(t)	1.23	
	(0.07)	
HIGHVOL(t)*$R_n(t)$		0.49
		(0.08)
HIGHVOL(t)		2.33
		(0.29)
N	9554	9554

(a) Table VII: volume and price reaction.

Table A.I

Funds in the Sample and IPO Dates

This table provides the names of the funds in our sample with the dates of their initial public offerings (IPOs). Our sample consists of 39 single-country publicly traded funds that were covered in *Barron's* publicly traded funds column from January 1986 through March 1994, and that have at least twelve months of price and net asset value data.

	Fund	IPO Date
1	Argentina	10/11/91
2	Austria	09/21/89
3	Brazil	03/31/88
4	Brazil Equity	04/03/92
5	Chile	09/26/89
6	Emerging Germany	03/29/90
7	Emerging Mexico	10/02/90
8	First Australia	12/12/85
9	First Iberian0	04/13/88
10	First Israel	10/22/92
11	First Philippine	11/08/89
12	France Fund	05/30/86
13	France Growth	05/10/90
14	Future Germany	02/27/90
15	Germany Fund	07/18/86
16	Growth Spain	02/14/90
17	Helvetia	08/19/87
18	India Growth	08/12/88
19	Indonesia	03/01/90
20	Irish Investment	03/30/90
21	Italy	02/26/86
22	Jakarta Growth	04/16/90
23	Japan OTC Eqty	03/14/90
24	Japan	04/12/62
25	Korea	08/22/84
26	Korean Investment	02/13/92
27	Malaysia	05/08/87
28	Mexico Eq. & Inc.	08/14/90
29	Mexico	06/03/81
30	New Germany	01/24/90
31	Portugal	11/01/89
32	ROC Taiwan	05/19/89
33	Singapore	07/24/90
34	Spain	06/21/88
35	Taiwan	12/23/86
36	Thai Capital	05/22/90
37	Thai	02/17/88
38	Turkish Investment	12/15/89
39	United Kingdom	08/06/87

(b) Table A.I: sample funds and IPO dates.

7 Interpretive synthesis

- **What is the anomaly?** Prices of closed-end country funds do not fully react to NAV changes each week. This is underreaction to fundamentals.
- **What changes in news weeks?** Price reaction to NAV becomes stronger when country-specific news appears prominently on the front page of the Times.
- **Why does this matter?** The same fundamental move is incorporated differently depending on salience, suggesting attention affects prices.
- **Why not just liquidity?** News weeks have higher volume, but volume controls do not eliminate the news interaction.
- **Why not just NAV measurement error?** Results appear in established markets and using foreign-index returns, and NAV returns are not negatively autocorrelated in the way measurement error would predict.
- **Conceptual contribution.** The paper turns the psychology concept of salience into a measurable financial-market variable and links it to price discovery.

8 Short summary

- The paper studies 39 closed-end country funds from 1986 to 1994.
- Price and NAV returns are observed weekly.
- NAV serves as an observable measure of fundamentals.
- Front-page *New York Times* country stories measure salience.

- In ordinary weeks, prices underreact to NAV; the contemporaneous elasticity is around 0.5–0.6.
- In news weeks, the elasticity rises by around 0.3–0.4.
- News weeks also have higher trading volume.
- Volume explains part, but not all, of the salience effect.
- Results are robust to market splits, foreign-index fundamentals, lag controls, fund effects, and week effects.
- The evidence supports the idea that investor attention affects how fast markets incorporate public information.

9 Conclusion

9.1 Core conclusion

Klibanoff, Lamont, and Wizman show that salient public news changes the speed with which financial prices incorporate fundamentals. Country-fund prices underreact to NAV changes in ordinary weeks, but react much more strongly when the host country appears prominently on the front page of *The New York Times*.

9.2 Economic intuition

When information is mundane, some investors ignore or underweight it, causing sluggish price adjustment. When the same type of information becomes salient through prominent news, investors attend to it and prices react more quickly. Arbitrage is limited because the underlying assets are difficult for U.S. investors to trade or hedge perfectly.

9.3 Incremental contribution in one sentence

The paper provides a field-market test of salience/attention by combining an observable fundamentals benchmark (NAV) with an externally measured salience shock (front-page news) and showing that salience increases the price-fundamental elasticity.

9.4 Limitations

The paper does not randomly assign news coverage, and front-page articles may coincide with other changes in trading conditions. It also focuses on weekly price reactions in closed-end country funds, so the estimates do not directly quantify attention effects in all asset markets. Still, the robustness tests make it difficult to explain the main result with simple liquidity, volatility, or NAV measurement-error stories.

9.5 Takeaway

Market efficiency depends not only on whether information is public, but also on whether investors pay attention to it. Salient news can temporarily reduce underreaction and improve price discovery.